

Law & Legal Systems

Prepared by

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Lesson - 1

The Nature of Law & its Role in Society.

Definition of Law, Nature of Law and the Divisions Of the Law

Introduction

This lesson will enable to you to gain basic understanding of legal concepts, definitions of law, Nature of Law and Divisions of Law etc.

This lesson's learning outcomes

At the end of this week, you will be able to achieve the following learning outcomes.

- To explain to you, with reasons, why students should have an understanding of the law and legal concepts?.

- To outline and explain to you, some fundamental concepts relating to law and justice and why laws are important in any project or construction works ?.
- To explain main areas of Law and different branches of the Law.
- To explain the different types of Law that apply in UK and Sri Lanka

Requirement

Time required to complete study this week – 4 hrs

Required readings

Prof . Glanville Williams , **Learning the Law** , 2022, 26th Edition , Stevens Publishers (London) Chapters I ,II, IV and V

Study and learning activities

1. Read the lesson note “Definition of Law and Divisions of Law ”
2. Read the additional resource give above – Glanville Williams –Learning the Law – Chapters I,II,IV and V.
3. After completing your reading check your understanding by answering the self assessment questions.

Self assessment questions

1. As a student , Why should you have some understanding about “Law” and Legal Principals ?
2. Why are laws categorized under different topic or subjects ?
3. List the different branches of law ?

Lesson -1

Introduction

At the end of this lesson , you would be able to ,

1. Define the concept of “Law”
2. Explain why law is important for the proper functioning of a society , and how it impacts on the lives of all citizens in a society ,
3. List different ways in which law can be categorized and explain why law is categorized in this manner ,
4. Outline and explain the main provisions of the legislation relating to the different branches of Law

Definition of Law

Even judges and lawyers are not generally in agreement upon the definition of the term “**Law**” . For them , “**Law**” is simply a subject that lawyers practice and what courts (judges) do. However , it would not be incorrect to say that without “law” society cannot function in an orderly manner .

The term “**Law**” is defined – as rules made for the proper regulation of society or for correct conduct in life. Further, “**Law**” denotes rules and principles, enforced by legislature (Parliament) to control and regulate people’s behavior with a view to securing justice, peaceful living and social security.

Two definitions of Law are given below: Please go through these definitions .

- a. Law may be defined as the means by which human behavior in societies is regulated.**
- b. Law may be defined as the body of rules which spells out the rights and duties of the various sectors in society**

Thus , law can be defined as a body of rules which are expected to maintain order in society . For example , if there was no law governing theft , robbery or serious crimes

such as murder , rape , no one will be safe . Similarly , if there was no law governing the use of motor vehicles on public roads such as the requirement of a driving licence , revenue certificate , insurance , speed limits etc., our roads will not be safe for both motorists and pedestrians .

Nature of the Law

Historically, earliest societies had no “Law” to govern their conduct, but instead relied on the force of custom, religion and social pressure. “Law” came later. The word “LAW” is said to be derived from an old English word “*Lag*” which meant something laid down or fixed.

No one is above the Law. Everyone must obey and conform to the law. In order to obey the law, it is necessary to have some understanding of the Law.

Your day- to- day work , may involve legal issues and the interpretation of laws and regulations . Apart from the above reasons , citizens must appreciate that their conduct derives from the law .

What is the position if a person does not know the law ? can a person break the law and then argue that he was not aware of the law ? For example , can a motorist who exceeds the speed limit and argue that he was not aware of the speed limit and therefore, , he is not guilty of any offence ? The answer is clear . He cannot do so . This is because it is a well established rule , that “**Ignorance of the law is not an excuse to break the law .**”(It is a famous Latin maxim in law – *Ignorantia juris neminum excusat*) . Thus , a motorist who decides to drive a car on a road must first acquaint himself with the law , by referring the Motor Traffic Act of 1951 and its amendments .

Another example would be a situation where a construction company employs a boy under 16 years of age , as a labourer in their company . This is an offence , since , under the Employment of Women , Young persons and Children Act of Sri Lanka No. 47 of 1956 , no child under the 16 years can be employed in any capacity . In this

case too, the offending company or management cannot argue that they were not aware of the Act on the subject .

The need for a knowledge of the law cannot be over – emphasized . In modern times , almost all human activity is affected by the law in one way or another . When you are born , the law requires , that your birth be registered , and when you die the law requires a death certificate before you can be buried or cremated . Further, no newspaper will normally agree to publish an obituary notice unless the death certificate of the deceased person is produced .

For another example , the law requires that any person who wishes to drive a vehicle must be over a certain age (18 years) and possess a valid driving licence . Under our elections law , the law requires a person to be 18 years and above to be qualified as a voter . These are only a few examples to show to you how the law has become an integral part of our life .

Thus as shown above, “**Law**” is an integral part of any society. No civilized society can function without law.

Divisions of the Law. (Different Categories of Law; Classification of Law)

With the growth of civilization , people’s social and economic behavior assumed a multi- dimensional character. Most civilized societies therefore provide and enforce different sets of rules and guiding principles for different kind of social behavior. Hence, there are several branches of law- such as Constitutional Law , Criminal Law ,Civil Law , International Law , Commercial Law ,Contract Law Construction Law etc.

Most of the Laws applicable in any country can be classified or categorized by the subject areas they relate to or govern . There are, of course , some laws that are of

general application and are not restricted to any topic or subject such as Public Law , Private Law , Civil Law , Criminal Law, Contract Law , Land Law , Construction Law , Commercial Law etc. For example Criminal Law will apply to any one who commits a criminal offence irrespective of who he or she is . Contract Law will apply to any one who breaches an agreement or contract .(Construction Contract etc)

On the other hand, there are several laws that deal with specific subjects or specific areas. Good examples of specific laws can be given from the area of Business or Commercial law. Company Law will only concern those who run companies (eg. Construction Companies etc) or deal with them. Similarly, Partnership Law will concern only those who trade as partners (eg. Architects etc) and third parties who have transactions in a partnership .

Laws and judicial proceedings are broadly classified as belonging to the categories of Criminal Law and Civil Law.

Criminal Law

A “crime” is described as an offence punishable by the state.

Sri Lanka is fortunate that the greater part of our criminal law is found in three main legislative enactments (Acts and Ordinances), namely the Penal Code, the Criminal Procedure Code and the Evidence Ordinance. Criminal law, as opposed to Civil Law, deals with criminal offences like murder, robbery, house-breaking, theft, arson, etc.

Sri Lanka’s criminal law is based almost entirely on English law principles.

Civil Law

The word “offence” is not used in a civil law or civil matter. The word used in a civil law or civil matter is civil wrong. A civil wrong usually takes the form of a breach of contract , breach of trust or the causing of non-criminal offences in judiciaries. **The**

latter conduct is described as “Tort” in English law and the “Delict” in Sri Lanka using the legal terminology of the Roman Dutch Law.

In modern times “Civil Law” is categorized into different subject areas. Originally, the main areas of Civil Law were those relating to-

- 1. Law of Property and Persons (Land Law and Family Law)**
- 2. Law of Obligations (Contracts Law and Tort/Delict Law)**

We will subsequently outline these different branches of the law and the topics covered by them .

Civil Law may be further divided into sub-categories such as Law of Persons (Family Law), Law of Property (Land Law), Commercial Law, Industrial Law (Labour Law). Commercial Law too has its sub divisions such as Law of Partnership, Company Law, banking law, Law of Agency. The terms Business Law, Mercantile Law are also used to refer to different combinations of sub divisions of Commercial Law.

Comparison of Criminal and Civil Law under the English Law

(a) Purpose	Criminal- punishment of the wrongdoer Civil- compensation of the victim
(b) Case brought by	Criminal- the state Civil - the victim
(c) Action	Criminal- prosecution Civil- suing
(d) Burden of proof	Criminal- beyond reasonable doubt Civil- on a balance of probabilities
(e) Court	Criminal- Magistrate’s Court, High Court Civil- District Court
(f) Outcome if defendant loses	Criminal - imprisonment, fine, community service, probation Civil- damages, specific performance, injunction

Substantive Law and Procedural Law

According to another classification law may be divided into two broad groups namely; Substantive Law and Procedural Law. While the substantive law covers subjects already referred to, procedural law include Law of Evidence, Civil Procedure and Criminal Procedure.

The phrases “Public Law” and “Private Law” are in current use today in many legal systems. Thus Constitutional Law, Administrative Law, Local Government Law, Tax Law may be classified as areas of public law. The Law of Contract, Law of Delict, Law of Property and Persons may be considered aspects of Private Law.

Different main branches of the Law and the areas they cover

In the earlier section of this chapter we learnt that law can be broadly classified under two main branches: Public Law and Private Law. In our profession as Quantity Surveyors or Project Managers, it is relevant for us to learn about Construction Law as well as important Civil Law areas.

Public Law

This law consists of laws related to State. Under Public Law we can discuss about following laws-, Administrative Law ,Constitutional Law and Local Government of Law .

- **Administrative Law**

Perhaps the most important area of the law that Quantity Surveyors and Project Managers should be conversant with is Administrative Law. **In some countries where there is no written Constitution (like England) the demarcation between administrative law and Constitutional Law is not very clear.** These is because in

broad sense administrative law covers the legal principal governing the relationship between the government (the State) and the govern (the citizens) . The constitution of a country may also contain legal provisions on matters between the state and its citizens.

However as Sri Lanka has had a written Constitution since independence in 1948, no difficulty arises in distinguishing between (i) Administrative Law and (ii) Constitutional Law.

Constitutional Law, which will discussed next, is the law contained in our current Constitution which became law in 1978.

All other branches of the law relating to the organization and functions of public authorities including Ministries, government departments, statutory corporations ,boards and commissions are all governed by Administrative Law because they are considered semi-government public sector institutions.

- **Constitutional Law (Basic Law)**

The most important to citizens is Constitutional Law. So also matters relating to Parliament, elections, fundamental rights, the universal franchise, referendum, citizenship would also fall within this category of law.

Sri Lanka's Constitutional Law is also based entirely on the English law. That is why when disputes arise in our Parliament on the legislation or proceeding in Parliament and Parliament's Standing Orders, Members of Parliament and the Speaker seek guidance from English law on the subject.

- **Local Government Law**

Next to Constitutional Law, the most important to citizens is Local Government Law . So matters relating to County Councils , Grater Councils in UK and Municipal Councils, Urban Councils and Pradeshiya Sabahs in Sri Lanka would also fall within this category of law.

Private Law

In the above we learnt that law can be broadly classified under two main branches: Public Law and Private Law . Now we have learnt the What is Public Law ?.

As follows there are many Divisions of Private Law. Those areas of law are also cover Civil Law areas .

❖ **Law of Property**

Ownership of property, both immovable property (like land or house) or movable property (like a motor car), is one of the most important rights that people have. Property law governs such rights and includes matters like registration of title to land and movables, joint ownership, possession, servitudes, mortgages and leases etc. In their career, Construction professionals will be called upon to inquire into many disputes relating to property rights.

❖ **Law of Persons**

As distinguished from “Property Law”, “Persons Law” applies to family or domestic matters such as birth and legitimacy, marriage, divorce, adoption, the rights of parents and children, husband and wife, guardian and ward, mentally unsound persons and prodigals.

❖ **Law of Contract**

Contract law is part of civil law and concern the enforceability of agreements entered into between two or more persons. While all contracts are based on an agreement, all agreements may not result in contract. A contract is a legally binding and legally enforceable agreement. Contract law is one of the main branches of business or commercial law because without contracts there can be little or no business conducted. Even when you purchase a newspaper or a cement bag from a hardware trader , you are entering into a contract with the shopkeeper

❖ **Law of Tort (Delict Law)**

The word “tort” is taken from the French word meaning “wrong”. In modern times, the word “tort” (also called “delict”) refers to conduct which is a civil wrong as opposed to a criminal offence. Thus, tort law concerns breaches of duties – other than those arising out of a contract – which gives rise to a legal action by the aggrieved party against the wrongdoer. If a motorist drives carelessly and injures you he has committed a tort and you can sue him, under tort law, for damages for the injuries you suffered.

❖ Partnership Law

There are various forms of business organisations in Sri Lanka. Most of business organisations are like partnerships or unincorporated associations. (Sole Traders) Business organisation / entity define as “organisation of money investment to production or distribution of goods or services for obtain the profit or loss”.

In UK has many business entities such as private owned business organisations and , Government owned business entities etc .

Also there are many private business entities such as private Limited companies, Public limited companies (plc), Multi National Companies etc. Those companies are registered in the Office of the Registrar of Companies.

However ,Partnership is the relationship which subsists between persons carrying on a business together with the objective of making a profit. When referring to a partnership, we commonly refer to it as the “firm”. The word “firm” denotes the persons who constitute all the partners. **Partnership law in Sri Lanka is based on English law.**

The Partnership Ordinance states as -

“The relationship which subsists between persons carrying on business in common with a view of profits .”

According to this statutory definition, there are 3 essential elements.

- (1) A business
- (2) Two or more persons carrying on business in common
- (3) Profit motive

(*Federick Pollock* suggested a fourth element – “**An agreement which is recognized by Prevention of Frauds Act**”)

1. **A Business –**

Any trade, occupation or profession ,commercial activity or adventure –

Eg. However every occupation which results in monetary gain does not become a business. The management of land is also not a business.

2. **Two or more persons**

If a business run by several persons on behalf of a single individual is not a partnership. If run by one individual or more on behalf of himself and others , there is a partnership. If run by one individual or more on behalf of himself and others there is a partnership. “A person ” includes a natural or artificial (legal) person.

3. **Profit Motive** - Sharing of net profit is relevant here. If profits are not acquired it is not a partnership.

4. **Agreement to Share Profits** – Partnership is derived from ‘part’ which means to “Share.”

If there are several partners, they will usually choose his/her “first name”. This may be an artificial name Additions such as “**Company**” or “**& Co.**” are allowed by the Companies Act for partnerships , however not allowed words -‘**limited**’ or “**Co. Ltd**” or “**plc**”.

The names of all partners, business premises must be shown beside relevant letterheads. Under the **Business Names Act – 1985** artificial names which are offensive or falsely suggest connections with another business are prohibited.

❖ **Company Law**

Main legislative enactment for Companies is ***Companies Act of 2007***.

The word “corporation” is also often used in place of the word “company”. Both terms mean the same thing. The term used for forming a company is “incorporation”.

On **incorporation** the company becomes a **separate legal person**. Thus, a company can enter into contracts even between it self and natural persons who established it. It can also sue and be sued. This separate legal existence of a company gives rise to the advantages of the corporate structure for commercial and business purposes.

Another great advantage of a company is that it is **perpetual**. This means that it does not matter if the individual human owners come in and then leave the company – either

voluntarily by selling their shares .

A corporate business entities (e.g: Private Limited Companies , *plc*) are **artificial legal persons** creative by special authority and endowed with the capacity to acquire rights and incur obligations .

Every corporate legal entity (e.g: Private Limited Companies) is a separate legal person.

A separate legal personality is an indispensable part of the character of a company . In the eyes of the law the company is a person distinct and altogether different from its members and it capable of suing and being sued by company name.

❖ Banking Law

Banking law is the law that applies to all activities conducted by a bank and transactions between banks and their customers. To be a “customer of a bank” a person must have some sort of account with a bank, for example, a current, savings or credit card account. Without such an account you cannot be regarded as a bank’s “customer”.

Banking Law in Sri Lanka is based on English law.

❖ Intellectual Property Law

“Intellectual property” is intended to cover all creations of the mind of any person, which the law recognizes and protects. Currently, the main areas of intellectual property recognized by law are industrial property such as patent, commercial interests such as trademarks and designs and copyright. For example an author of a book has copyright to protect his interests and to see that the book is not published and sold without his knowledge and consent. This area of law is governed in Sri Lanka and UK both by legislation and common law.

• Tax Law

Fiscal legislation in any country is fraught with controversies in view of the conflicting interest between the government and the tax-payers. The successful implementation of any tax legislation depends on the fair and equitable approach

.Any amendment having the effect of unsettling the law, in all fairness should be with appropriate notice and without causing genuine hardship.

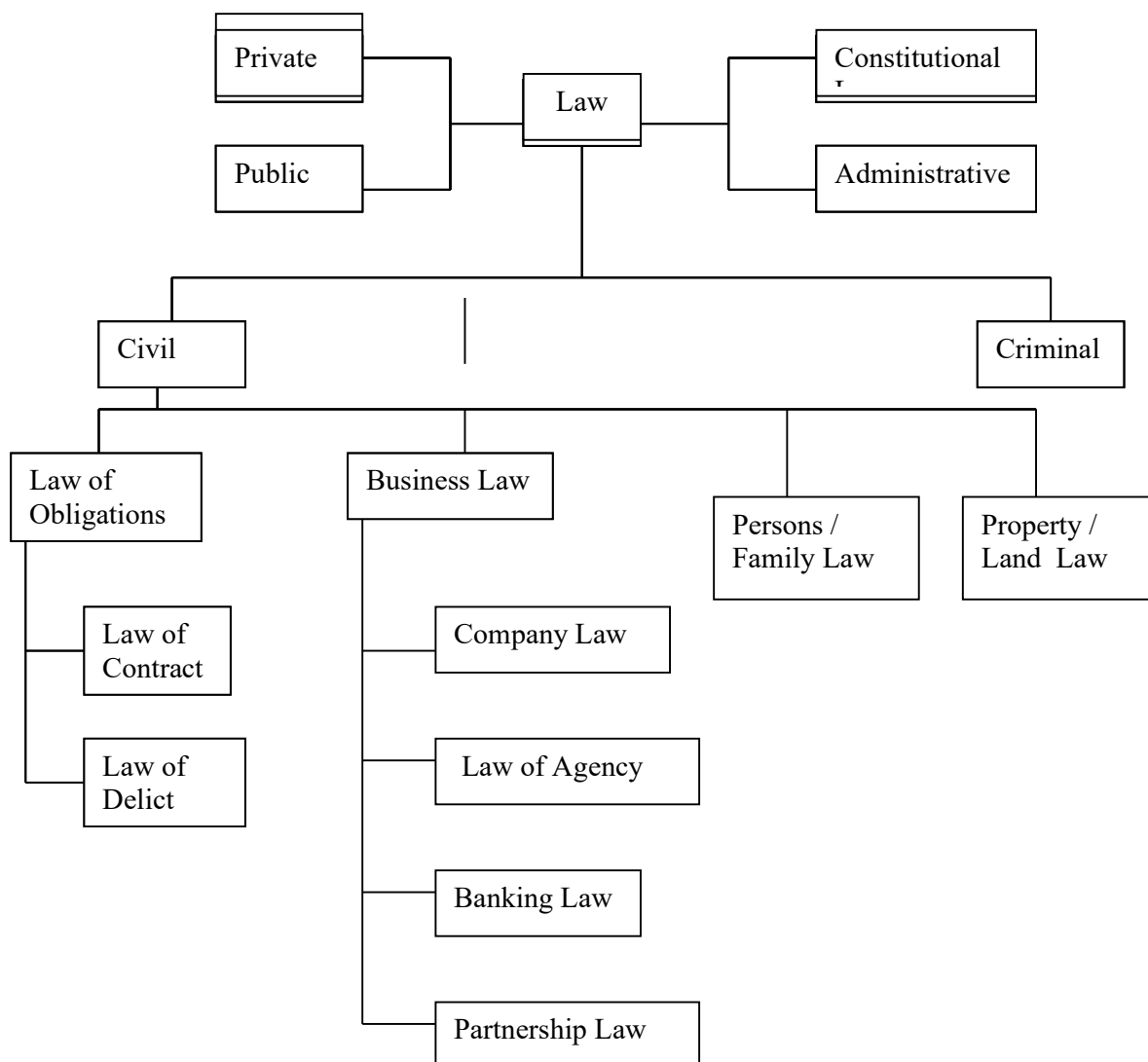
Sri Lanka has many tax legislation such as Inland Revenue Act No.38 of 2000 , Stamp Duty Act of 1982 etc.

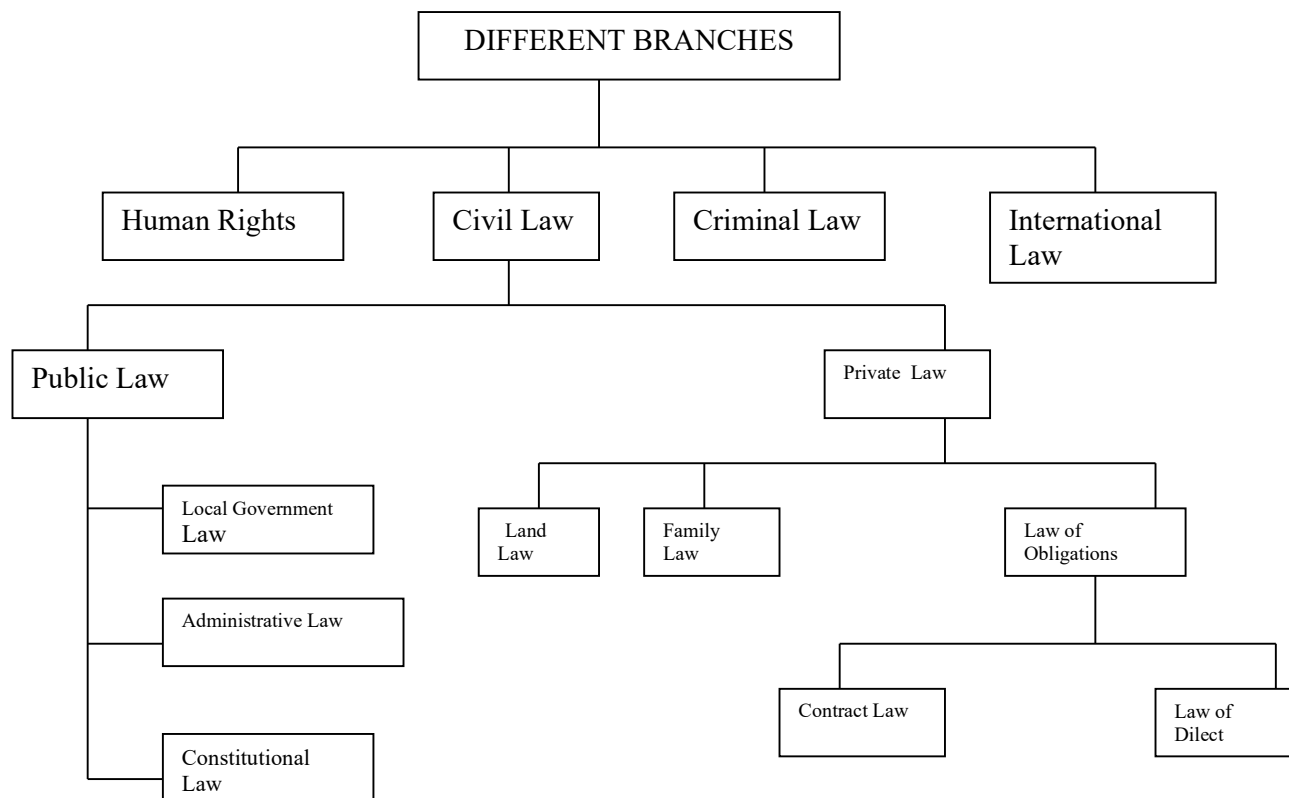
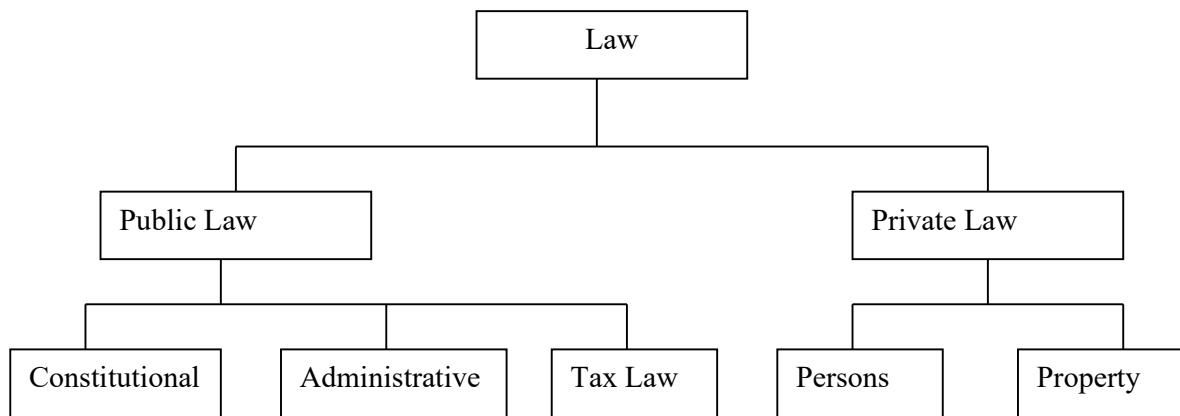
❖ **Employment Law (Industrial Law/ Labour law)**

Industrial and Labour Law regulates the rights and liabilities between employers and their employees and protect employees from unjust exploitation and wrongful treatment by their employers. Much of this law is now governed by legislation relating to industrial disputes, collective agreements, wages boards, employees provident and trust funds, holiday and annual leave, workmen's compensation, employment of women and young persons, maternity leave etc.

The employment relationship arises when one person (the employee) supplies skill and labour to another (the employer) in return for payment. (Salary/wages). The relationship is primarily contractual obligations the formation and discharge of contracts apply equally to contracts of employment as to other types of contract.

Various Classification methods of Law





Summary of the lesson- I

No one is above the law. Every must obey and conform to the law. In order to obey the law, it is necessary to have same understanding of the law. Without “Law” society cannot function in an orderly manner. Thus law can be defined as a body of rules which are expected to maintain order in society. Law is an integral part of any society.

Originally, the main areas of ‘law’ were those relating to (i) Public law and Private law or (ii) Criminal law and Civil law or (iii) Law of Property and Law of Obligations (Contract or Torts). Gradually by a process of development, other specific areas of law came to be recognized. Most of the law applicable in any country can be classified or categorized by the subject areas they relate to or govern such as Administrative Law, Constitutional law, Tax law, Family law, Land Law etc. On the other hand, there are several laws that deal with specific subjects or specific areas such as Partnership Law, Company Law, Insurance Law, Banking law, Intellectual Property Law, Industrial Law etc.
